

EXECUTIVE SUMMARY

Financial Statement Analysis — Infosys Limited

Period: FY2023 to FY2025 | Prepared by: Tharineesh M

OBJECTIVE

To analyze Infosys Limited's 3-year standalone financial performance using key accounting ratios across liquidity, profitability, and leverage dimensions.

KEY RATIOS SNAPSHOT (FY2025)

Liquidity: Current Ratio	2.42956992632706x
Liquidity: Quick Ratio	2.42956992632706x
Profitability: Net Profit Margin	18.7%
Profitability: Return on Equity	29.3%
Leverage: Debt to Equity	0x

KEY FINDINGS

1. Liquidity Improvement	Current Ratio rose from 1.90x (FY2023) to 2.43x (FY2025), and cash holdings nearly doubled to ₹14,265 Cr, reflecting strong free cash flow generation.
2. Gross Margin Expansion	Gross Profit Margin improved from 34.0% to 36.4% over 3 years, indicating improving service delivery efficiency and cost discipline on core operations.
3. Net Margin Pressure in FY2025	Net Profit Margin declined from 21.1% (FY2024) to 18.7% (FY2025) as software package and AI infrastructure costs surged, compressing the operating line.
4. Strong Shareholder Returns	Return on Equity remained above 29% in FY2025 despite pressure, and ROA of 20.5% reflects efficient asset utilization across the 3-year period.
5. Debt-Free Capital Structure	Zero borrowings across all 3 years — Infosys is entirely equity-financed, confirming minimal financial risk and conservative capital management.

CONCLUSION

Infosys demonstrated strong financial health between FY2023 and FY2025. Liquidity improved substantially, supported by robust cash generation, while gross profitability expanded consistently. Net margins faced moderate pressure in FY2025 from rising technology and AI investment costs — a strategic trade-off rather than a structural weakness. The debt-free balance sheet and consistently strong ROE confirm that Infosys remains a financially sound, low-risk company suited to long-term stable growth. For anyone working with or investing in Infosys, the key watchpoint for FY2026 is whether the increased technology investment begins to translate into margin recovery.

Data Source: Infosys Annual Reports FY2023, FY2024, FY2025 (Standalone Financial Statements)
Tools Used: Microsoft Excel — IF, cross-sheet references, percentage change formulas, Line/Column/Bar charts